

Graham said that having a good memory was his one burden. The memory of being financially ruined twice in a lifetime led him to embrace an investment approach that stressed downside protection versus upside potential.

There are two rules to investing, said Graham. The first rule is: Don't lose. The second rule is: Don't forget the first rule. Graham solidified this "don't lose" philosophy into two specific, tangible guidelines that cemented his margin of safety: (1) buy a company for less than two-thirds of its net asset value, and (2) focus on stocks with low price-to-earnings ratios.

The first approach, buying a stock for a price that is less than two-thirds of its net assets, fit neatly into Graham's sense of the present and satisfied his desire for some mathematical expectation. Graham gave no weight to a company's plant, property, and equipment. Furthermore, he deducted all of the company's short- and long-term liabilities. What remained were the current assets. If the stock price was below this per-share value, Graham considered this to be a foolproof method of investing. He did clarify that the results were based on the probable outcome of a group of stocks (diversification), not on the basis of individual results.

There's just one problem with this approach: Stocks that fit the criteria can be hard to find, especially during bull markets. Acknowledging that waiting for a market correction might be unreasonable, Graham turned to his second idea: to buy stocks that were down in price and sold at a low price-to-earnings ratio. He hastened to add that the company must have *some* net asset value; in other words, the company must owe less than its worth.

Throughout his career, Graham worked with several variations of this approach. Shortly before his death in 1976, he was revising the fifth edition of *Security Analysis* with Sidney Cottle. At that time, Graham was analyzing the financial results of stocks that were purchased based on these criteria: a 10-year low price-to-earnings multiple, a stock price that was equal to half its previous market high, and of course, a net asset value. Graham tested stocks back to 1961 and found the results very promising.

Over the years, many other investors have searched for similar shortcuts for determining intrinsic value. And while Graham's low price-to-earnings ratio approach is still generally favored, we have learned that making